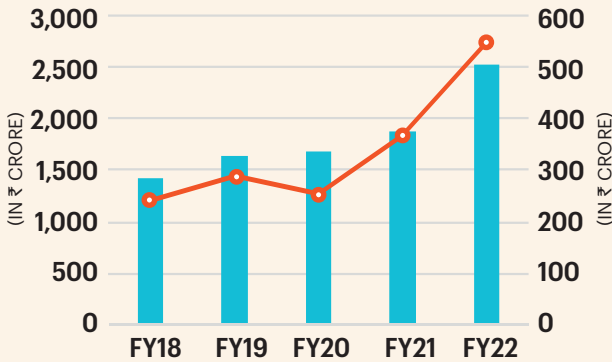


ON A WINNING STREAK

► Tata Elxsi's net profit has more than doubled in the past four years



● TOTAL REVENUE (LHS) ● NET PROFIT (RHS)

SOURCE ACE EQUITY

► Its stock has gained over 5,500 per cent since January 2010



● S&P BSE SENSEX ● TATA ELXSI

BASE=100 SOURCE ACE EQUITY

ergy levels.” Given that the top 10 auto companies account for 60 per cent of the overall ER&D spend, this is a significant growth opportunity, especially when coupled with the demand for advanced sensor systems in autonomous cars. In the media and communications space, the company’s expertise with broadcasters, multi-system operators, semiconductors, and STB manufacturers comes in handy. “Its partnership with Google Widevine (struck two years ago, where Tata Elxsi will deliver secure content protection for broadcast, media, consumer electronics and automotive applications) opens up avenues for operators, OTT, content providers and access to the network that includes Netflix, HBO, Disney, Hulu, Amazon Prime, Jio and Warner Bros.,” says Prasad. Widevine is Google’s content protection system for premium media.

CHANGING TACK

Tata Elxsi came into being in the late 1980s and for the next two decades, it focussed its attention on what Raghavan describes as “tough engineering problems”. It is what excited the workforce but there was little to speak of, be it on revenue or profitability.

“The decision to verticalise the business was a big moment. Till then, we did a lot of good projects but lost money,” he says. Starting from 2010, the company saw an opportunity in the way the transportation, media and communications businesses were transforming globally. “If you had a car then, you still listened to music on a CD. Suddenly, we saw the likes of infotainment, airbags and power steering coming along,” he recalls. From an industry that was traditionally more dependant on machines, it started moving towards software. And if current conditions are any indicator, this trend looks set to continue. Tata Elxsi’s work in this vertical has made headway across its key customers, with one of the top three luxury carmakers in the world—that the company declined to name, citing confidentiality clauses—signing on to work with them.

Likewise, media went through a phase of analogue television, before that made way for satellite, DTH and now OTT. “We are at the forefront of some of the technologies such as AR, VR and metaverse,” says Raghavan. Taking a moment to again emphasise on the difference between an IT company and Tata Elxsi, he says “we help in launching products”. Much of an IT company’s time is spent on bidding for projects

GRAPHICS BY **RAHUL SHARMA**